



OFFLINE PAYMENT METHODS

Not everyone is happy making online purchases via websites, so if you can offer a range of payment methods, there is less chance of you losing sales.

- › **Bank deposit** The customer pays into your business account before the order is sent.
- › **Wire transfer** The customer wires money from their bank or brokerage account into your bank account. This may take up to 24 hours.
- › **Check or money order** The customer sends you a check or money order, which you deposit and then wait for the funds to clear.
- › **Cashier's check** The customer can obtain a cashier's check at a bank and send it to you to pay for the goods or services.
- › **Cross-border payment platform** This is a computer program shared with a partner organization that enables direct payments to be made between countries.



NEED TO KNOW

- › **Acquiring bank** is the seller's own bank, which receives funds from the customer's bank.
- › **Digital wallet** is any type of software that enables people to store their bank details in the cloud for making payments online. PayPal and GooglePay are examples.
- › **Issuing bank** denotes the customer's bank, which has issued the debit or credit card in the customer's name.
- › **POS (point-of-sale) system** is software that enables retailers to take customers' payments, send invoices, and manage data and stock inventory.
- › **PSP (payment services provider)** is a payment gateway and a merchant service provider combined into one.
- › **White-label platform** refers to a ready-to-use computer program that automates the sales and payment system.

69% of customers abandon a purchase due to a lack of payment options

Baymard Institute consumer survey, 2019

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Authorization or decline sent

Approval or refusal is sent back through the card network via the payment gateway/processor. The seller sees the message and the order is fulfilled or declined.



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Transaction sent for settlement

The merchant service provider may wait to gather transactions from several customers before sending them to the various banks to request the payments due.



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Funds transferred to seller

For each transaction made, the customer's bank releases the correct amount of money owed and transfers it to the seller.

